



["ORGANIZATIONAL THEORY AND BEHAVIOUR"]

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Final Project Report



METRO Cash & Carry is an international self-service wholesale company that operates across various countries, including Pakistan. It opened its first center in Pakistan in 2007, rapidly expanding to five wholesale centers within 18 months. A key milestone occurred in July 2012 when METRO merged with Makro-Habib, forming a powerful partnership to strengthen its business in Pakistan. Currently, METRO Cash & Carry operates ten wholesale centers across major cities such as Lahore, Karachi, Islamabad, Multan and Faisalabad.

Globally, METRO operates over 700 stores in 30 countries, employing more than 100,000 people. In 2011, the company reported annual sales of around 31 billion Euros. The company's strategy revolves around sustainable growth and enhancing operational efficiencies, aiming to improve earnings, cost positions, and margins. METRO is committed to supporting local businesses, providing small retailers and restaurants with locally procured goods and helping farmers directly access fair market prices through initiatives like collection centers.

This company's culture focuses on modernization, customer value creation, and supporting local business ecosystems.

Industry: Retail (wholesale)

Size: Global corporation with a significant market share.

Location: Headquartered in Germany, with operations in numerous countries.

Location in Pakistan: Head Quarters in Main Air Port Road, DHA, Near Divine Garden Scheme, Lahore, 54792. Other Stores at <https://www.metro.pk/store-locator>

Key History:

The first METRO Cash & Carry Store was opened in Germany in 1964 by its founder Otto Beisheim. In 1968, the first MAKRO Store opened in Netherlands. The METRO Cash & Carry subsidiaries are operating either under the name METRO or MAKRO. METRO AG was founded out of METRO C&C, subsidiaries & Asko Deutsche Kaufhaus AG in 1996. Since then, the Headquarters have been situated in Dusseldorf, Germany. The company operates more than 750 stores in more than 30 countries in Europe, Asia and Africa and has a workforce of over 95,000 employees. METRO AG Sales in 2020/21 were approximately 24.8 Billion Euros.

Organizational Structure and Culture



Company slogan: **Your success is our business!**

Core Values:

METRO Pakistan places a strong emphasis on professionalism and integrity across its operations. The company upholds high standards, ensuring that its workforce, supply chain, and overall operations are reliable, transparent, and of superior quality. Integrity is central to the way METRO conducts business, fostering trust-based relationships with stakeholders, customers, and employees alike. This foundation of professionalism is further reflected in METRO's commitment to customer satisfaction, which remains at the heart of its operations. By focusing on understanding and meeting the diverse needs of its clientele—spanning the hospitality industry, retail sector, and food service providers—the company nurtures long-term relationships centered around mutual growth.

In addition to its customer-centric approach, METRO strongly advocates for sustainability and community engagement. The company views sustainability as a key responsibility toward future generations, which is evident in its environmentally conscious practices and community-driven initiatives. METRO's involvement in projects like the Akhuwat Women's College underscores its commitment to social responsibility, promoting education and healthcare. This focus on community welfare is mirrored in the company's broader engagement with social causes, further enhancing its image as a responsible corporate entity.

Cultural Norms and Values

Excellence in customer service is a core aspect of METRO's organizational culture. This is evident in the professionalism of its well-trained staff, who consistently uphold the company's values in their interactions with customers. METRO takes pride in its customer-focused service, ensuring that every interaction reflects its dedication to high-quality standards.

Norms within METRO also promote employee growth and collaboration. The company actively invests in the continuous development of its employees, fostering a collaborative and inclusive work environment. Diversity is celebrated, with employees from various backgrounds feeling valued and included.

Diversity and Inclusion Practices

METRO reinforces its commitment to inclusion through rituals such as celebrating International Women's Day, which highlights its dedication to empowering women in the workplace. Events like these not only promote equity but also recognize the contributions of female employees, further enhancing the company's inclusive culture.

Additionally, METRO's engagement extends beyond its internal operations, as it regularly participates in community and social impact initiatives. Through Environmental Social Governance (ESG) programs, the company champions equal opportunities and encourages the inclusion of young women in the workforce. These initiatives reflect METRO's ongoing commitment to diversity, inclusion, and community development.

Organizational Design and Physical Culture

METRO's office layouts and store designs reflect its multichannel model. Stores are structured to offer both physical and digital solutions, reinforcing the flexibility METRO provides to its customers. Communication styles within the company emphasize professional advice, digital innovation, and customer collaboration, supported by a focus on technological solutions.

Cultural Strength and Strategic Alignment

Reference: <https://www.metroag.de/en/about-us/strategy>

METRO has a **strong organizational culture** that is deeply embedded across the company, influencing decision-making and aligning employee behaviors with its strategic goals. Several key factors illustrate this:

1. **Clear Strategic Direction:** The sCore strategy, presented in 2022, sets a clear path for growth and is shared throughout the company. The goals of increasing digital sales, expanding Food Service Distribution (FSD), and growing their own brands are communicated across all levels, ensuring that employees are aligned with these objectives. For example, METRO's commitment to increasing digital sales to 40% by 2030 requires strong internal collaboration and consistent employee engagement in driving this shift.

2. **Customer-Centric Approach:** METRO's culture emphasizes understanding and meeting the specific needs of their customers, particularly in the HoReCa (Hotels, Restaurants, Catering) and retail sectors. Employees are trained to "know their customers' business," which ensures that decision-making at various levels supports customer success. This focus on customer relationships and professional advice demonstrates a shared belief system among staff, reinforcing a unified approach to customer service.
3. **Multichannel Model:** The culture at METRO is strongly influenced by its multichannel business model, encouraging innovation and flexibility. Employees are expected to be adaptable, using both in-store and digital platforms to serve customers. The company's investment in expanding its delivery services and digital marketplace demonstrates how the culture shapes operational decisions aimed at growth and efficiency.
4. **Shared Values and Goals:** METRO's push for digitalization, innovation, and operational excellence shows a cohesive culture where values are shared and upheld by employees across the company. For instance, the expansion of the sales force and investments in digital solutions like DISH Digital Solutions reflect a collective commitment to long-term success.

Overall, METRO's strong culture influences decision-making at all levels, ensuring that employees are not only aligned with the company's goals but are also empowered to contribute to its success through shared values and consistent behaviors.

Evolution and Origins of Organizational Culture



The organizational culture at METRO Cash & Carry Pakistan is shaped by its global corporate roots, strategic partnerships, and extensive growth in Pakistan. These factors have influenced the company's evolution and the unique environment it fosters today.

Role of Founders and Global Influence

METRO Cash & Carry is part of the METRO Group, a German multinational company with over 700 stores in 30 countries. The company operates on a self-service wholesale model

that has established a strong global presence. This global influence has introduced a culture focused on professionalism, customer centricity, and operational efficiency. METRO's founders and leadership have instilled core values like integrity, sustainability, and ethical business practices, which permeate the organization globally and have become integral to METRO Pakistan's operations as well. These values shape interactions with customers, suppliers, and employees, ensuring transparency and trust are maintained throughout its business processes.

Strategic Expansion in Pakistan

METRO entered Pakistan in 2007 with its first cash & carry wholesale center and expanded quickly, establishing five centers within just 18 months. This rapid growth reflected the company's focus on capitalizing on market opportunities while promoting a culture centered on innovation, efficiency, and operational excellence. A key turning point for the company's culture was the merger with Makro-Habib in 2012, which allowed METRO to combine local expertise with its global standards. This merger reinforced values such as adaptability, customer-centricity, and localization—important cultural elements as METRO adjusted to the needs of Pakistan's diverse business environment.

Evolution Over Time and Local Adaptation

METRO's culture in Pakistan has evolved over time to align with the local market demands while still maintaining its global corporate principles. The company has placed a significant focus on understanding the needs of its local clientele, which includes retailers, restaurants, and food service providers. This customer-centric approach is reflected in METRO's strategy of offering locally sourced goods, helping small businesses improve competitiveness, and providing tailored solutions for various industries. This adaptability has fostered strong relationships with customers based on mutual growth and reliability.

In addition, METRO Pakistan has been heavily involved in sustainability practices, such as reducing waste along its supply chain. The introduction of collection centers for farmers to improve post-harvest handling methods reflects the company's commitment to environmental sustainability, which has become an essential part of its culture. These initiatives highlight METRO's evolving responsibility toward both economic and environmental stewardship, contributing to long-term sustainable growth.

Community Engagement and Corporate Social Responsibility (CSR)

METRO has gradually integrated more community-oriented values into its corporate culture in Pakistan. This includes engaging with local farmers and supporting small businesses, reflecting the company's commitment to corporate social responsibility (CSR). METRO's focus on sustainability, ethical excellence, and community engagement has grown significantly over time. For instance, the company's involvement with the Akhuwat Women's College, where it promotes educational opportunities for young women, highlights METRO's social responsibility efforts. Additionally, METRO has emphasized its role in promoting diversity, equity, and inclusion (DE&I) within its workforce, celebrating differences, and ensuring equal opportunities for all employees.

Managerial Implications – Leadership, Power and Politics



The corporate culture at METRO Cash & Carry significantly influences managerial decision-making, both mixing the attributes of empowering and constraining them in different ways.

Empowering Manager:

METRO's strong customer-centric focus allows managers to make decisions that cater directly to the needs of local markets and clients, such as restaurants, retailers, and food service providers. For example, the establishment of collection centers for local farmers not only improves the supply chain but also empowers managers to engage suppliers in ways that enhance product quality and reduce waste. This initiative allows managers to tailor operations to local business requirements, fostering long-term relationships and enhancing METRO's reputation in the community. Furthermore, the emphasis on professionalism and integrity enables managers to uphold high standards of transparency and ethical conduct. This corporate value empowers managers to build trust within their teams and with external stakeholders, ensuring that decisions align with METRO's core principles of accountability and customer satisfaction.

Constraining Managers:

However, METRO's global corporate structure can sometimes limit local managers' flexibility. While the global framework supports long-term planning, it may restrict the ability of managers in Pakistan to localize operations quickly or address immediate market challenges. For instance, METRO's global objectives of cost optimization and margin improvements may limit localized innovation, as managers must balance corporate directives with the specific needs of the Pakistani market. Additionally, the matrix organizational structure, where multiple reporting lines exist, can delay decision-making by requiring managers to seek approvals through several channels. This has been

a noted challenge in the company's ability to react swiftly to emerging market trends or competitive pressures in the wholesale industry.

Employee Behavior – Attitudes, Satisfaction and Motivation



METRO Cash & Carry's corporate culture deeply impacts employee motivation, collaboration, and job satisfaction, shaping a work environment where employees feel valued and engaged.

Employee Motivation:

METRO's culture of professionalism and customer-centric values plays a key role in motivating employees. For example, employees working in customer-facing roles, such as sales representatives or supply chain staff, are motivated by the direct impact their performance has on customer satisfaction. This responsibility fosters a sense of purpose, particularly in meeting the high service standards set by METRO. The company's commitment to Diversity, Equity, and Inclusion (DE&I) also motivates employees by ensuring that their contributions are valued regardless of background. A prime example is METRO's celebration of International Women's Day, which highlights the achievements of female employees and reinforces the company's dedication to equity. This inclusive approach boosts morale, as employees see METRO actively recognizing and rewarding their efforts based on merit and without bias.

Collaboration:

METRO encourages collaboration across all levels of the organization. This is evident in how employees are provided with opportunities for continuous development, promoting knowledge sharing and teamwork. METRO's investment in employee growth is further exemplified by its Environmental Social Governance (ESG) initiatives, such as when METRO team members visited Akhuwat Women's College in Chakwal to promote equal opportunities for young women to join the workforce. This collaborative environment not only strengthens team dynamics but also aligns employees with the company's larger mission of social impact.

Job Satisfaction:

Job satisfaction at METRO is enhanced by the company's recognition of employee contributions and its inclusive work environment. For instance, METRO's annual recognition events, such as the celebration of International Women's Day, foster a culture of appreciation and inclusivity, directly contributing to higher morale among employees. Furthermore, the company's commitment to sustainability and social responsibility provides employees with a sense of pride, as they are able to work for an organization that actively contributes to community well-being. METRO's initiatives to reduce waste and promote sustainable practices, such as supporting local farmers, further enhance employee satisfaction by aligning the company's operations with values that many employees personally support.

Recommendations Based on OB & OT Concepts



To further enhance its corporate culture, METRO Cash & Carry could consider several recommendations based on current business needs and employee satisfaction. These improvements aim to sustain long-term growth while fostering a positive and inclusive work environment.

1. Increase Flexibility in Managerial Decision-Making:

While METRO's global framework provides valuable structure, offering local managers more flexibility could allow for faster response to market-specific challenges. By decentralizing some decision-making power, particularly in operational aspects such as local marketing strategies or supplier partnerships, managers could better address local trends and consumer demands. For example, creating region-specific strategies in line with local consumer behaviors or market conditions would empower managers to innovate and react swiftly, enhancing METRO's competitive edge in Pakistan's dynamic wholesale market.

2. Strengthen Employee Recognition Programs:

While METRO already celebrates achievements through events like International Women's Day, expanding recognition programs to highlight diverse employee contributions on a more regular basis would boost morale and motivation. For example, introducing monthly or quarterly awards for outstanding customer service, innovation, or sustainability initiatives could provide employees with ongoing validation of their efforts.

This would reinforce METRO's commitment to professionalism and equity while maintaining high employee engagement and job satisfaction.

3. Enhance Opportunities for Professional Development:

METRO's focus on employee growth and collaboration can be amplified by providing more structured learning and development programs. Establishing mentorship initiatives and leadership training programs for employees at different levels would prepare them for future managerial roles, thereby ensuring a steady pipeline of talent. For example, offering specialized training in emerging areas such as digital supply chain management or sustainable business practices could empower employees with new skills and align them with the company's evolving goals.

4. Further Promote Diversity, Equity, and Inclusion (DE&I):

While METRO has made strides in promoting DE&I, there is potential to deepen this commitment by implementing more specific, measurable goals. For instance, setting diversity targets at leadership levels, improving gender balance across departments, and conducting regular DE&I training would create a more inclusive environment. Encouraging greater female representation in decision-making roles would also inspire more women to aspire to leadership within the organization, further supporting METRO's goal of fostering a diverse and equitable workplace.

5. Enhance Sustainability Initiatives:

METRO's strong focus on sustainability can be taken further by engaging employees more directly in these efforts. Creating employee-led "Green Teams" that focus on sustainable practices in their respective departments could increase participation and innovation. For example, allowing employees to contribute ideas on reducing energy use, waste, or improving logistics efficiency would enhance their connection to METRO's environmental goals. Additionally, increasing transparency around the company's sustainability achievements and challenges could further align employees with METRO's corporate social responsibility (CSR) mission.

By implementing these recommendations, METRO Cash & Carry can not only improve employee satisfaction and motivation but also strengthen its market position and alignment with evolving business needs.

Leadership Styles, Conflict and Group Dynamics

In METRO Cash & Carry, managers play a pivotal role in aligning their leadership approaches with the company's culture while addressing the associated challenges. To effectively lead within this framework, managers must adapt their strategies to foster a positive organizational environment that reflects METRO's core values of professionalism, customer-centricity, sustainability, and inclusion.

1. Adapting Leadership to a Customer-Centric Culture:

Managers need to consistently prioritize the company's customer-centric philosophy in their decision-making and daily operations. This involves not only understanding the diverse needs of METRO's clientele but also empowering employees to provide top-notch service. To do this, managers can adopt a participative leadership style, involving employees in decision-making processes that directly impact customer satisfaction. By actively listening to frontline staff—who interact with customers regularly—managers can gather insights that help refine customer service strategies and build stronger customer relationships. This bottom-up approach ensures that customer needs remain at the forefront of business operations.

2. Navigating the Balance Between Global Framework and Local Flexibility:

While METRO's global corporate structure provides important guidance, managers must strike a balance between adhering to global policies and adapting to local market conditions. To address this challenge, managers can adopt a situational leadership approach. This means being flexible and tailoring their leadership style based on the unique needs of their teams and market contexts. For example, managers can implement local marketing initiatives that reflect customer preferences while ensuring alignment with METRO's global sustainability and operational standards. This balance ensures that METRO remains competitive and locally relevant without compromising its overarching corporate values.

3. Fostering a Collaborative and Professional Work Environment:

Given the company's emphasis on professionalism and collaboration, managers must lead by example by upholding high ethical standards and fostering a team-oriented environment. This requires adopting a transformational leadership style that focuses on motivating and inspiring employees. Managers can cultivate trust and transparency by consistently communicating company goals, providing constructive feedback, and encouraging open dialogue. Recognizing and celebrating team successes also reinforces a culture of professionalism and collaboration. For example, managers can create forums for knowledge sharing, such as regular team meetings or cross-functional projects, where employees can collaborate and learn from each other.

4. Addressing Cultural Challenges in a Matrix Organizational Structure:

One of the challenges managers face in a matrix structure is navigating the multiple layers of reporting and decision-making, which can slow down responsiveness to market changes. To address this, managers should develop strong communication and coordination skills. By fostering relationships across different departments and maintaining clear lines of communication, managers can minimize delays and improve decision-making efficiency. In cases where approval processes slow down operations, managers can advocate for streamlining procedures that grant more autonomy to local teams while still aligning with corporate objectives.

5. Strengthening DE&I through Inclusive Leadership:

METRO's commitment to diversity, equity, and inclusion (DE&I) requires managers to

adopt inclusive leadership practices. This involves not only valuing diverse perspectives but actively promoting them within the workplace. Managers can do this by ensuring that all team members have equal opportunities for professional development and by being mindful of any unconscious biases in recruitment, promotion, or team dynamics. Inclusive leaders encourage open dialogue about DE&I and create a safe environment for employees to express their ideas and concerns. Additionally, supporting programs that celebrate diversity, such as International Women's Day, reinforces METRO's inclusive culture and fosters a sense of belonging among employees.

6. Leading Sustainability and CSR Initiatives:

METRO's focus on sustainability requires managers to embed environmentally conscious practices into their teams' daily activities. Managers can lead by example by advocating for eco-friendly initiatives and encouraging employees to contribute to the company's sustainability goals. For example, they can encourage teams to reduce waste, improve energy efficiency, or explore innovative ways to enhance supply chain sustainability. Managers should also communicate the importance of these initiatives to employees, demonstrating how their contributions positively impact both the company and the broader community. This approach not only aligns with METRO's sustainability values but also empowers employees to take pride in their contributions to corporate social responsibility (CSR) efforts.

By adapting their leadership styles to METRO's corporate culture and addressing cultural challenges, managers can effectively guide their teams, foster a positive work environment, and ensure alignment with the company's values.